

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
	X	

RESPONDENTS’ REPLY BRIEF ON PERSONAL JURISDICTION

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Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PAF”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) submit this reply brief pursuant to the Presiding Officer’s March 9, 2023 Order, granting Respondents’ motion to bifurcate this proceeding into a jurisdictional phase and a merits phase (“Bifurcation Order”). This brief, and the accompanying Proposed Findings of Fact (“Resp. PFOF”) and Evidentiary Appendix (“Resp. Appx.”), respond to the arguments and evidence submitted by Complainant International Longshoreman’s Association (“ILA”) on March 15, 2023, and show that ILA has failed to carry its burden of proving that any of the five Respondents is a marine terminal operator (“MTO”) as defined in Shipping Act of 1984, 46 U.S.C. § 40102(15), in the facilities at issue in the Amended Complaint.

I. PROCEDURAL BACKGROUND

A. Overview of the Parties

Gateway is a stevedoring company that operates in the container terminals in the Port of Savannah, Georgia. It is a joint venture (“JV”) company owned by an entity known as Southeast Stevedoring Holdings, LLC (“SSH”). Resp. PFOF ¶ 1. SSH in turn is owned by SSA, Ceres, and an entity known as Marine Terminals Corporation – East (“MTCE”).¹ Resp. PFOF ¶ 6.

CSC is a stevedoring company that operates in the Port of Charleston, South Carolina, and is also a JV company that is owned by SSH and, in turn, Ceres, SSA, and MTCE. Resp. PFOF ¶¶ 7, 28.

Prior to October 2021, MTCE, Ceres and SSA each provided stevedoring services independently in both Charleston and Savannah. Resp. PFOF ¶¶ 11-20. As of October 29, 2021,

¹ MTCE is a corporate affiliate of, but neither owned nor controlled by, Respondent Ports America Florida, Inc., a separate corporate entity that operates in Florida ports. Declaration of David Nelson (“Nelson Decl.”) ¶ 6 (Resp. Appx.000395).

MTCE, Ceres and SSA combined their respective stevedoring assets into their existing joint venture, Gateway. Resp. PFOF ¶ 42. Prior to that time, Gateway had existed to provide gate services, but not stevedoring, at the container terminals at the port. Resp. PFOF ¶ 41. The consolidation of stevedoring services in to Gateway was driven by a policy shift by the Georgia Ports Authority (“GPA”), which operates the container terminals, shifting to a sole-source stevedoring provider model in those terminals to improve operational efficiency. Resp. PFOF ¶ 43.

CSC was created by MTCE, Ceres, and SSA (through SSH) after the South Carolina Ports Authority (“SCPA”) similarly raised concerns about the operational inefficiencies generated by multiple stevedoring companies working in each port. As of May 4, 2020, CSC handles all container stevedoring services in Charleston. Declaration of Joseph Haigler (“Haigler Decl.”) ¶ 3 (Resp. Appx. 000371-377); Declaration of Paul Lokey (“Lokey Decl.”) ¶¶ 6-7 (Resp. Appx. 000385-392); Declaration of Craig Mygatt (“Mygatt Decl.”) ¶¶ 3-5 (Resp. Appx. 000378-384).

GPA and SCPA urged SSA, Ceres, and MTCE to establish a single joint venture stevedoring services provider in each port to avoid undue disruption of operations, technical expertise, and commercial relationships between stevedores and carriers. Resp. PFOF ¶ 16; Mygatt Decl. ¶ 5 (Resp. Appx. 000380). At present, CSC and Gateway operate independently of one another, including with regard to pricing and contracting with carriers.

B. FMC Agreement: Filing, Determination of No Jurisdiction, and Withdrawal

On March 29, 2019, Ceres, SSA, and PAF filed FMC Agreement No. 201293, the “Georgia – South Carolina Marine Terminal Operator Cooperative Working Agreement with the Commission.” Resp. PFOF ¶ 22. While the Commission lacks jurisdiction over providers of stevedoring services, the parties argued that certain of their services arguably could have brought

them within the scope of the Shipping Act’s definition of “marine terminal operator,” and therefore could have made their agreement subject to FMC filing under the Shipping Act. Resp. PFOF ¶ 24. *See also* 46 U.S.C § 40102(15) and 46 U.S.C § 40301(b).

At that time, Ceres, SSA, and PAF urged the Commission to find that they were marine terminal operators, as that would have afforded them antitrust immunity for their arrangement. *See* 46 U.S.C § 40307. Antitrust immunity under the Shipping Act would have provided the parties with a more efficient and streamlined legal framework under which to form their joint venture, as opposed to proceeding under the antitrust laws.

The Commission commenced a comprehensive review process pursuant to § 40304(d), gathering information from the parties regarding their current and planned operations and market conditions pursuant to a Request for Additional Information dated May 9, 2019. Resp. PFOF ¶ 25. After extensive review, the Commission’s General Counsel issued an opinion letter *sua sponte* on August 6, 2019 (“Opinion Letter”), in which he concluded that “the Parties to the agreement do not appear to be MTOs as defined by the Shipping Act of 1984.” Resp. PFOF ¶ 26. The General Counsel reasoned:

In this case, it appears that the Parties do not exercise sufficient “control” over any terminal facilities to render them MTOs under the Shipping Act at either Port. Their primary activities consist of stevedoring services provided to the carriers, and, as noted by the Parties, the Commission does not consider stevedores to be MTOs under the Act. *See Final Rule: Exemption of Certain Marine Terminal Arrangements*, 57 Fed. Reg. 4578, 4581 n.16 (Feb. 6, 1992) (“The Commission does not assert or claim jurisdiction over stevedoring activities.”). And none of the other services listed by the Parties involve the exercise of control over terminal facilities.

Id.

The parties elected not to contest the General Counsel’s jurisdictional determination before the full Commission (having been informed that the letter represented a consensus of a majority

of the Commission). As a result of the Opinion Letter, the parties formally withdrew the proposed agreement from the Commission’s consideration by letter to the General Counsel, with copy to the Bureau of Trade Analysis (“BTA”), dated September 9, 2019. Resp. PFOF ¶ 27.

By its terms, the Opinion Letter was not binding on the Commission, and was not final agency action for Administrative Procedure Act purposes. Operationally, however, the General Counsel’s opinion was implemented as the policy of the operating bureaus of the agency, as neither BTA nor the Bureau of Enforcement raised any objection or obstacle to the parties withdrawing their agreement while still moving forward to implement a cooperative JV arrangement under the authority of the antitrust laws, rather than the Shipping Act.

II. STANDARD OF REVIEW

ILA has the burden to prove its allegations against Respondents, including its allegations that Respondents meet the jurisdictional threshold definition of a marine terminal operator. “In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. The term “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981).

ILA misstates the legal standard applicable to this phase of the proceeding, claiming it needs only to make a *prima facie* showing of jurisdiction to avoid dismissal unless a “a full-blown evidentiary hearing” is held. ILA relies on *AT&T v. Compagnie Bruxelles Lambert*, 94 F. 3d 586, 588 (9th Cir. 1996) and *Kira Chen v. U.S. Sports Acad., Inc.*, 956 F. 3d 45, 51 (1st Cir. 2020), both of which are inapposite because they involved the standards applied by federal district courts in adjudicating defendants’ motions to dismiss for lack of personal jurisdiction.

While ILA pretends that this case is pending before the Presiding Officer on a motion to dismiss,² that clearly is not the case. The Motion to Bifurcate was not a motion to dismiss, but rather was a procedural motion to sequence discovery and adjudication of personal jurisdiction ahead of the adjudication of ILA’s claims on the merits, for the sake of cost and efficiency. Under the clear terms of the Bifurcation Order, the time is now at hand for ILA to meet its burden of proving by a preponderance of the evidence that any or all of Respondents are marine terminal operators. As shown below, it has not done so.

In citing *AT&T* and *Kira Chen*, ILA contends that the Presiding Officer cannot decide a contested question of jurisdiction without holding a “full blown evidentiary hearing.” The Federal Maritime Commission is not a district court, however. Rule 62 of the Commission’s Rules of Practice and Procedure, 46 CFR § 502.62, places the discretion for whether to hold a hearing in any complaint proceeding solely with the Presiding Officer. Nothing in the Commission’s rules or precedent requires an evidentiary hearing to decide a contested question of jurisdiction, regardless of whether such adjudication occurs contemporaneous with judgment on the merits or before.

III. APPLICABLE LEGAL STANDARDS

A. The Shipping Act’s Definition of “Marine Terminal Operator” is Narrow.

Under the Shipping Act, “[t]he term [MTO] means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.” 46 U.S.C. § 40102(15). The Commission’s rules further provide that “marine terminal facilities” include “structures (and services connected therewith)

² ILA states: “On January 23, 2023, Respondents filed its fourth motion to dismiss, asking for bifurcation of the proceeding into a jurisdictional phase, followed by a hearing on the merits if necessary.” Complainant’s Brief at 2.

comprising a terminal unit, including, but not limited to docks, berths, piers, aprons, wharves, warehouses, covered and/or open storage space, cold storage plants, grain elevators and/or bulk cargo loading and/or unloading structures, landings, and receiving stations, used for the transmission, care and convenience of cargo and/or passengers or the interchange of same between land and ocean common carriers or between two ocean common carriers.” 46 CFR 535.104(p).

B. MTO Determinations are Made on a Facility-Specific Basis.

In determining whether an entity qualifies as a MTO the Commission examines whether the entity meets the definition with respect to its activities at the specific marine terminal or other facility at issue, not on a regional, statewide or port-wide basis. *See Auction Block Co. v. City of Homer*, 33 S.R.R. 589 (FMC 2014), *aff'd sub nom, Auction Block Co. v. Fed. Mar. Comm'n*, 606 F. Appx. 347, 348 (9th Cir. 2015); *P.R. Ports Auth. v. Fed. Mar. Comm'n*, 919 F.2d 799 (1st Cir. 1990).

In *Auction Block Co.*, the Court of Appeals held:

The City of Homer provides terminal facilities to common carriers at the Deep Water Dock and the Pioneer Dock. But petitioners' complaint arises out of a dispute involving the City's Fish Dock. The Commission determined that the City is not a “marine terminal operator” with respect to the Fish Dock because, while the City provides terminal facilities there, it does not do so “in connection with a common carrier.” *Id.* § 40102(14).

We find no error in the Commission's determination. Petitioners have conceded that they are not common carriers, and they have produced no evidence that any other common carriers call at the Fish Dock. The only question, then, is whether the Commission permissibly interpreted the definition of “marine terminal operator” as calling for a facility-specific analysis.

We conclude that the Commission's interpretation is entitled to deference under *Chevron U.S.A., Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837, 104 S.Ct. 2778, 81 L.Ed.2d 694 (1984). The Shipping Act is silent on the question posed here—whether, in interpreting the definition of “marine terminal operator,” the Commission should consider all facilities operated by the defendant or just the facilities at issue in the dispute. The agency reasonably chose the latter interpretation.

606 F. Appx. at 348. Comparably, in *Puerto Rico Ports Authority*, the court evaluated whether the Commission had jurisdiction over the Puerto Rico Ports Authority for its fees at the Port of Ponce, and held that “[w]hile PRPA may furnish terminal facilities at San Juan and Mayaguez, the Commission properly did not base its jurisdiction on those activities.” 919 F.2d at 802.

Accordingly, evaluation of each Respondents’ MTO status must be done with reference to its operations at the terminal facilities where they are alleged to have breached the Shipping Act, *i.e.*, the Garden City Terminal and South Terminal in Savannah, and all container facilities in Charleston, *i.e.*, Wando, North Charleston and the newly-opened (but effectively idle) Leatherman Terminal. *See* Amended Complaint ¶¶ 12, 16, and 18.

C. The “Control Theory” of Terminal Jurisdiction is Inapplicable Here.

ILA does not argue that Respondents own or lease the container terminals at issue in this case, or provide those facilities to users, as the statutory text requires. Rather, ILA bases its theory of jurisdiction on a series of Commission cases from the 1980s addressing the MTO status of municipal entities and public port authorities that provided essential services, imposed fees for access, and exercised control over the operation of or access to terminal facilities within their jurisdiction. This “control theory” of personal jurisdiction was, even at the time, controversial; it was opposed by the Department of Justice (“DOJ”), and was narrowed in subsequent appellate litigation. The “control theory” has never been expanded to apply to private parties like Respondents, which are not port authorities or government entities, and whose business is providing stevedoring and other contracted services within terminals owned and operated by public ports. Embracing ILA’s underlying legal theory would represent a landmark step to expand the reach of the Shipping Act (including its statutory antitrust immunity) to new non-terminal-

operating segments of the maritime industry. Such an approach would be inconsistent with the relevant text of the Shipping Act and unlikely to survive judicial review.

The plain language of the Shipping Act requires that a party must be engaged “in the business of providing wharfage, dock, warehouse, or other terminal facilities” to be considered an MTO. However, in a handful of 1980s cases involving Plaquemines Port, Harbor and Terminal District in Louisiana, the Commission and the D.C. Circuit Court of Appeals held that, under certain circumstances, a public port authority may qualify as a marine terminal operator for Shipping Act purposes even when it did not actually own or operate a marine terminal. *See Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist.*, 25 F.M.C. 59 (FMC 1982) and *Plaquemines Port, Harbor and Terminal Dist. v. FMC*, 838 F.2d 536 (D.C. Cir. 1988), *aff’g New Orleans S.S. Ass’n v. Plaquemines, Port Harbor & Terminal Dist.*, 23 S.R.R. 1363 (FMC 1986) (collectively, the “*Plaquemines cases*”). Those cases addressed whether charges assessed by the Plaquemines port district to defray costs of police, fire and emergency services on the Mississippi River violated the Shipping Act’s nondiscrimination provisions.

In the *Plaquemines* cases, the Commission and the D.C. Circuit looked past the plain text of the statute, focusing instead on Congress’s perceived purposes. In those cases, the Commission and the appellate court agreed that the port, harbor and terminal district’s combination of (1) offering “essential services” (i.e., police, fire, and emergency services) and (2) “controlling access” to marine terminal facilities to enforce a fee charged for its services rendered the port a “marine terminal operator” and brought it within jurisdiction of the Federal Maritime Commission under the Shipping Act of 1984. The court explained:

We agree with the FMC that the Port’s combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities. Like the FMC, we read the purpose of the relevant portions of the 1916 Act, and its successor, the 1984 Act, to be the prevention of discrimination in the provision of terminal

facilities. Ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate. Thus, the critical issue for jurisdiction is that the degree of the Port's involvement enables the Port to discriminate. In this case, the Port has the ability to discriminate in the fees it charges by controlling access to private terminal facilities. This is sufficient to sustain FMC jurisdiction.

838 F.2d at 543 (emphasis added). This approach has come to be known as the “control theory” of marine terminal operator jurisdiction.

The “control theory” was almost immediately questioned, narrowed, and distinguished by the First Circuit Court of Appeal in *Puerto Rico Ports Authority*. In that case, the Puerto Rico Ports Authority (“PRPA”) appealed an FMC order holding that PRPA’s collection of port service charge at the Port of Ponce (which was operated by the municipality of Ponce, not PRPA) was unjust and unreasonable. In the proceeding below, the Commission applied the “control test” from *Plaquemines*, finding that PRPA exercised sufficient control over parties at the port of Ponce to be considered a marine terminal operator. The Court of Appeals reversed, finding that there was no basis for the FMC to hold that PRPA was an MTO with respect to Ponce. Its decision cited FMC Commissioner Thomas Moakley’s dissenting opinion in *Plaquemines*, focusing on the plain text of the Shipping Act:

PRPA, under any plausible interpretation, is not in the “business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier” at the Port of Ponce. *Plaquemines I*, supra, 21 S.R.R. at 1083 (FMC 1982) (Moakley, dissenting) (“*Plaquemines* does not own or operate any facilities serving common carriers by water. This [fact] should end the [jurisdictional] inquiry.”). PRPA's sole function at Ponce is to provide such general harbor services as law enforcement, radio communications, harbor cleaning, and port captain services.

919 F.2d at 802.

Ultimately, though, the First Circuit opted to distinguish the *Plaquemines* case, thus avoiding taking a position on whether it was wrongly decided by the D.C. Circuit:

We believe that the Commission's reliance on *Plaquemines II* in the instant case is misplaced. The Port in *Plaquemines II* had complete control over the private terminals, including the amount of fee the terminals charged. The Commission found that *Plaquemines Port* administered and controlled all privately owned docks and wharves within its geographical jurisdiction. The Port had complete control over the fees and charges levied by the owners of private terminal facilities. Through its plenary control over the private terminal facilities, the Port became a de facto terminal operator. . . .

Since we conclude that PRPA did not exercise the type of plenary control over Ponce terminal facilities that the Port exercised over private terminal facilities in *Plaquemines II*, we need not consider the mode of statutory analysis employed by the Commission and the District of Columbia Court of Appeals.

Id. at 806–07 (citation omitted). Thus, in the wake of *Puerto Rico Ports Authority*, the *Plaquemines* control theory approach has been effectively narrowed to extend MTO status only to governmental or port authorities that exert complete or plenary control over terminals within their jurisdiction.³

Both *Plaquemines* and *Puerto Rico Ports Authority* represent rare examples of the DOJ (which, on behalf of the United States, is a statutory respondent in all Hobbes Act appeals of FMC decisions) actually breaking with the Commission on the merits, and urging Federal appellate courts to overturn the Commission's decision on appeal. With regard to the control theory, DOJ argued that it broadened FMC jurisdiction in a manner inconsistent with the plain language of the statute. As the Commission observed, "DOJ charges that the Commission has constructed the 'control theory' out of 'whole cloth' and that the D.C. Circuit erred in *Plaquemines* in adopting the Commission's reasoning." See Br. of Respondent at 10, *Puerto Rico Ports Auth. v. Fed. Mar. Comm'n*, 919 F.2d 799 (1st Cir. Aug. 20, 1990), provided at Exhibit 24 (Resp. Appx. 000306-361).

³ See, e.g., *Lake Charles Harbor and Terminal Dist. v. W. Cameron Port, Harbor and Terminal Dist.*, Dkt. 06-02, 2007 WL 2468431, at *4; 2007 FMC LEXIS 33 at *13 (FMC Aug. 2, 2007) (Order Discontinuing Proceeding) (finding West Cameron Port, Harbor and Terminal District was not an MTO because it was not offering essential services, controlling access to private facilities through the enforcement of fees, providing terminal facilities, exercising control over or limiting access to terminal facilities, levying or threatening to levy any charge/wharfage/tariff/other fee upon vessels passing through its jurisdiction, or threatening or attempting to disrupt any lawful operation of LCH).

DOJ's opposition to the "control theory" is understandable; any extra-statutory broadening of the definition of MTO necessarily narrows the reach of the antitrust laws. Accordingly, indulging ILA's invitation to revivify and expand the "control theory" appears certain to elicit the same opposition from DOJ.

D. The General Counsel Correctly Applied the Relevant Precedent

In light of the precedential history described above, the only appropriate course is to limit *Plaquemines* and its "control theory" narrowly to the facts and circumstances described in that case. That is the approach taken by the Commission's General Counsel in his Opinion Letter findings that Respondents Ceres, SSA, and PAF were not MTOs. He explained, in relevant part:

The court in *Plaquemines* agreed that the "combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities." 838 F.2d at 543.

Examining the first element, the Parties emphasize that the services they provide are "essential," apparently relying on the *Plaquemines* court's use of the phrase "essential services" to describe the services provided by the port authority in that case. *See id.* As the Parties note, however, those services consisted of "essential health, safety, and security services," i.e., police, fire, and emergency services, which the port authority had the "exclusive ability" to provide. *See Louis Dreyfus Corp.*, 25 F.M.C. at 66. The services provided by the Parties are not health, safety, or security services, and there is no indication that the Parties have the exclusive ability to provide them.

Even if the Parties' services are "essential," it is unclear that they meet the other elements described in the *Plaquemines* and the underlying Commission cases. The main thrust of the Parties' argument is that the provision of gate services renders them MTOs. But the Parties only charge carriers for gate services in Savannah (fees for gate services at Charleston are charged by the Port). Thus, the second element in *Louis Dreyfus Corp.*, the assessment of a fee for the services provided, is met only with respect to the Savannah arrangement. *See id.*

Finally, we examine the level of control exercised by the Parties over the facilities at the Ports. The Shipping Act, the Commission's regulations, and the *Plaquemines* case make clear that an entity must have some level of control over physical terminal assets in order to meet the MTO definition; performing services alone is insufficient. The Shipping Act refers to the provision of "wharfage, dock, warehouse, or other terminal facilities." 46 U.S.C. § 40102(15) (emphasis added).

The Commission's regulations, in turn, define "marine terminal facilities" as "*one or more structures* (and services connected therewith) comprising a terminal unit." 46 C.F.R. § 535.104(p) (emphasis added). To the extent that the Parties suggest that the parenthetical "(and services connected therewith)" be read as meaning that services alone constitute "marine terminal facilities," we disagree. By using the conjunctive "and" instead of the disjunctive "or" in the parenthetical, the definition is most reasonably read as stating that marine terminal facilities include the relevant structures *and* connected services, not merely the services. Moreover, the Commission and the court in *Plaquemines* emphasized the Commission's control over private terminal facilities as an essential factor in determining that the port authority was an MTO. *Louis Dreyfus Corp.*, 25 F.M.C. at 66-67; *Plaquemines*, 838 F.2d at 543. Thus, the fact that the Parties perform services at the Ports, including services defined in Commission regulations as "marine terminal services," is not enough to establish that they are MTOs under the Act.

In this case, it appears that the Parties do not exercise sufficient "control" over any terminal facilities to render them MTOs under the Shipping Act at either Port. Their primary activities consist of stevedoring services provided to the carriers, and, as noted by the Parties, the Commission does not consider stevedores to be MTOs under the Act. *See* Final Rule: Exemption of Certain Marine Terminal Arrangements, 57 Fed. Reg. 4578, 4581 n.16 (Feb. 6, 1992) ("The Commission does not assert or claim jurisdiction over stevedoring activities."). And none of the other services listed by the Parties involve the exercise of control over terminal facilities. Although some of the services described are performed at the gates, which might be considered terminal facilities, the Parties' description indicates that the Ports own the gates, and the Gate Companies merely perform services at those locations (e.g., inspecting cargo, providing directions to truckers). In other words, it does not appear that the services provided by the Gate Companies are directly connected to the use of terminal facilities, akin to providing wharfage, dockage, or warehousing. *See* 46 U.S.C. § 40102(15). Additionally, nothing in the information provided by the Parties suggests that they have the ability, like the port authority in *Plaquemines*, to condition access to the gates or the terminals on payment of fees for their services.

Respondents recognize that the General Counsel's analysis was an accurate and faithful analysis and application of the statute and relevant precedent. In 2019, the parties invited the agency to broaden the scope of the MTO definition, in order to take advantage of the Shipping Act's statutory immunity; however, the agency understandably closed the door on that effort, and SSA, Ceres, and MTCE ultimately had to proceed with the combination of their operations under the legal framework of the antitrust laws instead. While the Commission generally does not

recognize estoppel as a defense in agency proceedings, the agency nevertheless should consider the equity, policy, and precedential effects that asserting jurisdiction over an agreement years after it was turned away. The outcome ILA now urges would lead to broader uncertainty with regard to the staff-level jurisdictional determinations that are routinely made by the agency's agreements program and general counsel. The agency might also weigh the effects of expanding its own jurisdiction (over this agreement, and stevedoring companies in general) at the expense of the antitrust laws and the DOJ, which has long pressed for the narrowest possible construction of the Shipping Act's antitrust exemption.⁴ It is likely that the United States would contest such an outcome vigorously at the appellate stage of this proceeding.

IV. ARGUMENT

A. PAF is Not a Marine Terminal Operator in Charleston or Savannah.

ILA has failed to carry its burden of proving, by a preponderance of the evidence, that PAF is an MTO in either Charleston terminals or Savannah terminals. Indeed, ILA has failed to produce any evidence showing that PAF provides terminal facilities, or engages in any operations whatsoever, in Charleston or Savannah. Respondents, however, have submitted uncontroverted testimony that PAF provides operations only in ports in Florida, and not in the terminals at issue in this case. To compensate for this evidentiary gap, ILA argues that PAF's status as an MTO

⁴ See, e.g., Comments of the Department of Justice on The Alliance Agreement, FMC Agreement No. 012439, available at <https://www.justice.gov/atr/page/file/913521/download>, in which DOJ advised:

The Department has long taken the position that the general antitrust exemption for international ocean shipping carrier agreements is no longer justified. The passage of the Ocean Shipping Reform Act in 1998 was a step towards deregulation, but the industry still lacks the full benefits of competition. The ocean shipping industry exhibits no extraordinary characteristics that warrant departure from competition policy. Price fixing and other anticompetitive practices by the industry over the years have imposed substantial costs on our economy through higher prices on a wide variety of goods shipped by ocean transportation. However, to the extent that ocean carrier agreements continue to be immunized under the 1984 Shipping Act, it is important for the agreements to be limited and precise, as it is well-settled that antitrust immunities should be construed as narrowly as possible.

should be determined by considering the operations of wholly separate corporate affiliates. However, such an approach would be unprecedented and unsupportable.

While PAF is the only Ports America affiliate named in the complaint, ILA asserts that for the purposes of this proceeding the party name “Ports America Florida, Inc.” should be read to also include “the contracting party in the joint ventures as actually implemented,” that is, MTCE, a separate corporate entity that is not a party to this proceeding. Complainant’s Brief at 1, n.1.

In seeking to justify its impermissible corporate veil-piercing, ILA misrepresents the record in this proceeding. ILA asserts:

Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. *See* CX_001101. **Discovery has revealed**, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented.

Id.

The docket tells a different story: ILA knew long before discovery commenced that MTCE is the entity that is party to the joint ventures at issue in this proceeding. Nevertheless, for over a year ILA has opted not to name MTCE as a party in this proceeding. In Respondents’ initial Motion to Dismiss filed May 9, 2022, Respondents stated:

Gateway is a stevedoring company that operates in Savannah, Georgia, and a joint-venture company ultimately owned by Marine Terminals Corporation – East (“MTCE”),¹ Ceres, and SSA. CSC is a stevedoring company that operates in Charleston, South Carolina, and a JV company also owned by MTCE, Ceres, and SSA. Prior to 2019, MTCE, Ceres and SSA each provided stevedoring services independently in both Charleston and Savannah. In Savannah, MTCE, Ceres and SSA combined their respective stevedoring assets into the pre-existing Gateway entity that managed gate services, as the Georgia Ports Authority (“GPA”) wanted stevedoring services to be consolidated into one provider. CSC was created after the South Carolina Ports Authority similarly raised concerns about the operational inefficiencies generated by multiple stevedoring companies working in each port.

Resp.’ Mot. to Dismiss at 3-4, n.1. (“MTCE is an affiliated company of PA,” i.e., Ports America Florida.”).

In response to Respondents’ Motion to Dismiss, ILA amended its flawed original Complaint extensively by a Motion for Leave to Amend filed June 3, 2022. In the Amended Complaint, ILA acknowledged MTCE to be the owner of Gateway (although erroneously referring to MTCE as a subsidiary of PAF). Amended Complaint para. 49. However, ILA elected not to substitute or add MTCE as a party to this proceeding in its Amended Complaint.

In Respondents’ Answer to the First Amended Verified Complaint filed November 18, 2022, Respondents again clearly explained that “Gateway is owned by an entity known as Southeast Stevedoring Holdings, LLC (“SSH”) and that SSH is owned by SSA, Ceres, and an entity known as Marine Terminals Corporation – East (‘MTCE’).” Respondents further averred that “Respondents aver that CSC was established by SSA, Ceres, and MTCE.” Even after the Answer was filed, however, ILA did not move to add MTCE as a party.

If ILA wished to adjudicate the marine terminal operator status of MTCE, or take party discovery of that entity, it could have included MTCE as a party in its Amended Complaint. Alternatively, it could have sought leave to add MTCE as a party after the Answer was filed, prior to the start of discovery.

Having failed to name MTCE as a party, ILA cannot simply pierce the corporate veil and add MTCE as a party via footnote, by redefining the name of PAF to include its non-party affiliate. Conflating PAF and MTCE for the purpose of this proceeding would violate both parties’ due process rights.⁵

⁵ See *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 22 SRR 1582 (ALJ 2000) (requiring that individual parties be identified with respect to each claim or allegation); Docket No. 21-17, *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations Of 46 U.S.C. § 41102(c)*, Order Granting Motion to Individually Identify Respondents (ALJ March 28, 2022). In the latter case the Presiding Officer explained:

B. SSA is Not a Marine Terminal Operator in Charleston Terminals.

ILA fails to meet its burden of showing by a preponderance of the evidence that SSA is an MTO in the container terminals in the port of Charleston, i.e., Wando Welch, North Charleston, and Leatherman Terminal.

ILA's argument rests largely on conclusory assertions set out in the declaration of Charles Brave, which are erroneous and inconsistent, and rebutted by documentary evidence and testimony submitted by Respondents. For example, in paragraph 26, Brave asserts that SSA "retain[s] complete control of the marine terminal when loading or unloading a ship that is berthed within the Port" This statement is so vague as to lack any probative value, and, more importantly, is wholly false.

As explained in detail in the Lokey Declaration, prior to the CSC JV taking on the container stevedoring work in Charleston, SSA, using assigned ILA gangs, loaded and unloaded a vessel's cargo containers in coordination with port authority employees who operated attendant ship-to-shore cranes to conduct that work. The containers were then transported to and from the vessel by yard trucks driven by ILA members employed by SSA, to locations within the container yard designated by the respective port authority, where they were placed in the stacks by port authority employees operating cranes and other cargo handling equipment. SSA continues to provide this service for military and non-containerized cargo in Charleston. SSA does not exercise "complete control" of any marine terminal facility when loading or unloading a ship berthed within

Pursuant to the Administrative Procedures Act, in an administrative adjudication, the respondent is entitled to notice of "the matters of fact and law asserted." 5 USC § 554(b). The decision in Holt Cargo was predicated on the respondents' due process rights, and supports the arguments made in the motion. Each entity named as a respondent in a proceeding has the right to understand what allegations are being made against it.

the port. It is simply operating within a facility controlled and managed by the port authority. Lokey Decl. ¶ 18(c) (Resp. Appx. 000390-391).

Similarly, in paragraph 11, Brave asserts that SSA “owns an off-pier warehouse and employs members of the ILA Local 1422 represented bargaining unit to stuff and strip containers.” An off-pier warehouse is not a marine terminal, however, and SSA’s leasing of such a facility is not relevant to its status within the Port’s three container terminals, which SSA clearly does not own, lease or control. Lokey Decl. ¶¶ 16, 18(a) (Resp. Appx. 000390-391). Moreover, even if such a warehouse facility was adjudged to be a marine terminal facility, this fact would only be relevant to determining SSA’s status at that facility, not at any of the three terminal facilities in Charleston at issue in this case.

The Lokey Declaration sets forth other critical points showing that SSA is not, and was not, an MTO. He affirms that SSA does not assign and has never assigned berthing for any vessels at any berth in Charleston or Savannah, though it may communicate with ocean carriers and port authorities to coordinate the assignment of longshore crews to stevedore vessels calling there. The port authorities in Charleston and Savannah control all berthing assignments. Lokey Decl. ¶ 15 (Resp. Appx. 000390). Moreover, SSA does not provide and has never provided wharfage, dockage, warehouse or other terminal facilities in connection with a common carrier or anyone else in the terminals at issue in this case. SSA did not hold itself out to provide warehousing or other physical storage space or facilities for cargo in the Charleston container terminals. Lokey Decl. ¶ 16 (Resp. Appx. 000390).

Finally, SSA was not involved in the issuance or collection of charges for the use of facilities, such as wharfage, dockage, demurrage, crane use, and storage fees. The port authorities in Charleston and Savannah assessed these types of facility charges and set their

respective tariff rates and other port fees. SSA only assessed and collected charges for its own stevedoring services, a fact evidenced by the rate sheets produced in this proceeding. Lokey Decl. ¶ 17 (Resp. Appx. 000390).

C. SSA is Not a Marine Terminal Operator in Savannah Terminals.

ILA's evidentiary basis for asserting SSA is a marine terminal operator in Savannah is even less robust. In the affidavit Steve Sims produced by the ILA, he asserts that in Savannah, SSA was "involved in warehousing up to about six months ago" and "up to about six months ago, SSA also used to do similar stuffing and stripping warehouse work." However, performing stuffing and stripping (i.e., loading and unloading containers) does not constitute providing a marine terminal facility as required by the Shipping Act to establish MTO status.

The Lokey Declaration clarifies that SSA has done no stuffing or stripping of containers in Savannah since Gateway took over container operations on January 1, 2022. Prior to that date, as described above, SSA only performed cross-docking work in Savannah terminals. This work does not involve providing warehousing facilities, but instead relates to the service of loading and unloading of cargo between containers and/or other conveyances. SSA did not provide or charge for storage, wharfage, demurrage, or other facility-related items for such cargo. Lokey Decl. ¶ 19 (Resp. Appx. 000391-392).

As with the discussion of Charleston above, the testimony of Paul Lokey clearly shows that the GPA, not SSA, owned, leased and controlled the terminal facilities, including directing at all times where cargo is placed in its container yard, a matter wholly within GPA's discretion. SSA was not involved in the issuance or collection of charges for the use of facilities, such as wharfage, dockage, demurrage, crane use, and storage fees; rather, SSA only assessed and collected charges for its own stevedoring services, a fact confirmed by the rate sheets produced

in this proceeding. While SSA provided services within GPA's terminals, SSA did not own, control, operate or otherwise "provide" those terminal facilities to users. Accordingly, there is no basis to conclude SSA qualified as a marine terminal operator in any of the container facilities at issue in this case during the relevant time period.

D. Ceres is not a Marine Terminal Operator in Charleston Terminals.

ILA has not demonstrated that Ceres is now, or previously was an MTO in Charleston Terminals. Because Ceres is not presently operating as a stevedore for containerized cargo in Charleston, ILA appears to intimate that it is an MTO due to its indirect interest in CSC and partial ownership of Charleston Gate. This argument fails on several grounds. Per the Declaration of Craig Mygatt, Ceres' CEO, Ceres relinquished its container stevedore in Charleston as of May 4, 2020. Mygatt Decl. ¶ 3 (Resp. Appx. 000379).⁶ At the request of SCPA, Ceres entered a joint venture known as Charleston Stevedoring Company ("CSC") with two other stevedores, and CSC took over all container stevedoring work in Charleston. *Id.* ¶¶ 3-4. Ceres has an indirect one-quarter interest in Charleston Gate LLC, but neither Ceres, nor Charleston Gate controls access to the Terminals. *See* Resp. PFOF ¶ 40. In short, Ceres is not functioning as an MTO in Charleston.

Comparably, ILA's suggestion that Ceres was an MTO prior to CSC's formation is meritless. Before May 4, 2020, Ceres provided stevedore in Charleston pursuant to a Port Facility License Agreement with SCPA. Mygatt Decl. ¶¶ 3, 6 (Resp. Appx. 000379-380). This agreement authorized Ceres to store equipment and supplies at the Union Pier Terminal and to provide vessel stevedoring services at SCPA's Charleston facilities. *Id.* ¶¶ 6-7 (Resp. Appx. 000380). At this time, Ceres entered stevedoring contracts with numerous ocean carriers, but it did not assign

⁶ Ceres provides limited stevedoring work for Carnival Cruise Line in Charleston using ILA labor. Mygatt Decl. ¶ 16(a). Cruise stevedoring consists of stores loading/trash unloading at ship side as well as baggage handling at curbside, luggage scanning and shorting in the terminal, and ultimately sorting/loading/unloading/sorting of baggage to/from the ship on behalf of Carnival, *id.*, none of which would qualify Ceres as an MTO.

berthing, provide wharfage, dockage, warehouse or other terminal facilities, provide line handling, or enter a lease for warehouse facilities. *Id.* ¶ 7, 9-10, 16(b) (Resp. Appx. 000380-381, 383). Nor did it ever issue an MTO schedule or issue or collect facility charges other than for stevedoring. *Id.* ¶¶ 11, 14 (Resp. Appx. 000382). Ceres leased from SCPA space within terminal buildings, but only for the limited purpose of handling, receiving, and storing Ceres' equipment. *Id.* Finally, contrary to the conclusory allegations in ILA's witness declarations, Ceres never exercised control of the marine terminal – rather, ILA loaded and unloaded vessel cargo containers, working with state employees operating cranes, and SCPA determined the locations within the container yards to which containers were transported. *Id.* ¶ 16(b) (Resp. Appx. 000383). In short, Ceres “simply operated within a facility controlled by” SCPA. *Id.*

E. Ceres is not a Marine Terminal Operator in Savannah Terminals.

ILA also fails to demonstrate that Ceres is now, or previously was an MTO in Savannah Terminals. Similar to its operations in Charleston, all of Ceres' stevedoring work in Savannah was taken over by Gateway, a joint venture in which Ceres has an interest. Mygatt Decl. ¶¶ 3, 5 (Resp. Appx. 000379-380). Gateway took over as of October 29, 2021, and this too was done at the request of the port authority, GPA. *Id.* Gateway, not Ceres, is responsible for operating the Savannah Terminal gates. *See* Resp. PFOF ¶ 47.

Prior to October 29, 2021, Ceres provided container stevedoring services, but never qualified as an MTO. Ceres did not have a “licensing agreement” with GPA; rather, it had a lease with GPA that authorized it to occupy offices located at Raes Hall at the Port of Savannah and a stevedoring license that allowed it to provide container vessel stevedoring services. Mygatt Decl. ¶ 8 (Resp. Appx. 000380-381). Just like in Charleston, Ceres contracted directly with ocean carriers calling on Savannah and hired union labor to load and unload vessels. *Id.* Ceres never

assigned berthing, provided wharfage, dockage, warehouse, or other terminal facilities, or entered a lease for warehouse facilities. *Id.* ¶ 9-10 (Resp. Appx. 000381). Nor did Ceres issue an MTO schedule or issue or collect facility charges. *Id.* ¶¶ 11, 14 (Resp. Appx. 000381-382). Ceres was a member of Gateway, which had been organized to manage equipment interchange in the Savannah terminal. *Id.* ¶ 15. Gateway operated the terminal gates, supervised the transfer of equipment in and out of the terminals, and carried out “checking” functions,” all on behalf of the GPA. *Id.* In sum, Ceres’ role was limited to providing container stevedoring services and on behalf of the GPA, and GPA retained full control over the entire facility. Thus, ILA cannot prove that Ceres is now or ever was an MTO in Savannah.

F. Gateway is not a Marine Terminal Operator in Savannah Terminals.

ILA also has failed to meet its burden of demonstrating, by a preponderance of the evidence, that Gateway is an MTO in the two container terminals at issue in this case, Ocean Terminal and Garden City. As with the other Respondents ILA’s case is based on broad assertions and legal conclusions. However, those allegations are rebutted conclusively by the Declaration of Derek Grimes (“Grimes Decl.”), the License Agreement between GPA and Gateway, Gateway’s rate sheets, and the extensive testimony provided by Ed McCarthy, Chief Operating Officer for GPA, an amicus curiae in this proceeding. The McCarthy Declaration rebuts the ILA’s vague allegations with detailed first-hand descriptions of the GPA’s comprehensive authority and control over all aspects of its terminal facilities.

For example, in the Declarations of Paul Mosley and Steve Sims, both assert that Gateway maintains, or at least shares, control over the terminal with GPA. However, these assertions are rebutted by Derek Grimes, Gateway Finance VP, who has first-hand knowledge of Gateway’s dealings with the GPA. He explains in detail that the GPA maintains full responsibility and control

of both Savannah terminals. Grimes Decl. ¶ 23 (Resp. Appx. 000368). While Gateway provides input towards yard planning for specific vessels (in order to facilitate the stevedoring of those ships) GPA has the final say over all decisions, and yard planning is at the sole discretion of GPA. *Id.* As a result, GPA directs Gateway to the locations where cargo will be stored on the terminals. Thus, GPA controls terminal operations, including cranes, rubber-tired gantry cranes (“RTGs”), and storage locations. Gateway does not direct state employees. *Id.* Accordingly, even if the “control theory” were applicable to this case, ILA cannot make any showing of comprehensive or plenary control of the facilities by Gateway.

The Gateway License Agreement with GPA supports the Grimes Declaration. The Gateway License Agreement states that GPA has the power to “develop and improve seaports” in Georgia “for the handling of waterborne commerce” as well as to “investigate and handle matters pertaining to transportation rates and rate structures affecting freight and commerce through such ports.” It further states that, in furtherance of such powers, “GPA has decided to consolidate the provision of container vessel stevedoring and gate services by a single entity [(i.e., Gateway)] in the belief that consolidation will yield positive benefits for the State of Georgia and Terminal users including. . . improvements related to safety, quality, and efficiency of vessel stevedoring and gate services.” Resp. PFOF ¶ 43. Pursuant to the Gateway License Agreement, GPA designated Gateway as the “exclusive provider of container vessel stevedoring and gate services at the Terminal” but also recognized that GPA would “continue to be the marine terminal operator for the Terminal responsible for the operation of all cranes and container handling equipment such as top lifts, and all container yards and intermodal container transfer facilities.” Resp. PFOF ¶ 44.

Gateway’s gate operations also do not provide any basis for a finding of MTO status. Under the Gateway-GPA agreement, the GPA sets access standards and gate hours, which

Gateway is contractually obligated to enforce. Gateway provides access to the terminals pursuant to GPA access instructions and validates required documentation needed to enter the terminal as determined by the GPA. As a result, Gateway has no authority or discretion to exclude port users at the gate on commercial grounds, or to otherwise discriminate against users. Resp. PFOF ¶¶ 56-57.

The terms of the Gateway License Agreement make clear that Gateway operates the gates at the relevant terminals as GPA's agent. Resp. PFOF ¶ 47. Gateway agreed to provide the gate services in accordance with the terms and conditions set forth in Exhibit D to that agreement, *id.*, including GPA granting Gateway permission to GPA's real and personal property to provide gate services, including recording (i) transfers of equipment (containers and chassis) entering or leaving the Terminal by rail or motor carrier; and (ii) the condition of the equipment during each interchange. Under this contractor arrangement, Gateway also must provide gate services at the hours and rates set forth in the License Agreement, and must provide GPA with reports on its performance based on key performance indicators set forth in the License Agreement.

In addition, as explained in the Grimes Declaration, GPA Police are responsible for terminal security. Terminal cameras and IT equipment all belong to the GPA, and GPA Safety is responsible for overseeing the operations of GPA Police and stevedore operations. GPA has complete control over the security of the terminal, who enters and exits their facility through GPA's security gates. Only if users are granted access by GPA can Gateway provide contracted gate services and follows the interchange transaction guidelines issued by the GPA. Grimes Decl. ¶ 20 (Resp. Appx. 000367).

Finally, the Grimes declaration makes clear that GPA, not Gateway, is responsible for the maintenance and upkeep of the terminal facilities. GPA is fully responsible for terminal

management and decisions. Gateway is not required to provide pavement, fencing, utilities, or other infrastructure for the facility. It is not treated as the facility owner or operator at Ocean Terminal or Garden City Terminal by state or federal environmental regulators, or by any other regulatory authority. Grimes Decl. ¶ 20 (Resp. Appx. 000367). Accordingly, there is no factual basis to conclude that Gateway is an MTO, *i.e.*, that it is the party providing either the Garden City or Ocean Terminal facilities.

G. CSC is not a Marine Terminal Operator in Charleston Terminals.

ILA has failed to meet its burden of demonstrating, by a preponderance of the evidence, that CSC is an MTO. ILA's brief contains a slew of woefully inaccurate factual allegations. It mistakenly contends, among other things, that CSC exerts "control" of the terminals and other facilities at the Port of Charleston, including the power to determine whether carriers can access the terminal, whether trucks may enter or leave the facility, and how state employees should carry out their responsibilities, and that CSC provides services and facilities that are, in fact, provided by SCPA. *See generally* Complainant's Br. at 11-27. ILA's allegations are conclusory, supported in large part by self-serving declarations in statements by Local Union officials who are not privy to the innerworkings of CSC's business or the details of its licensing agreement with SCPA. ILA's arguments should be discredited on this basis alone; however, they also are contradicted by the documents Respondents have produced and the Declaration of Joseph Haigler, CSC's Financial and Commercial Vice President, who has personal knowledge regarding the services CSC provides in Charleston.

ILA characterizes CSC as a monopoly with full control over which carriers can and will call on Charleston, Complainant's Br. at 11-13, conveniently overlooking that CSC was created at SCPA's request and exclusively for the purpose of improving the efficiency of stevedoring within

the port. Haigler Decl. ¶ 3 (Resp. Appx. 000372-372). CSC’s original License Agreement with SCPA explicitly provided that CSC and SCPA would “endeavor to consult with each other and, where applicable develop guidelines and protocols for the safest, most efficient, and most competitive Stevedore Services in the South Atlantic port market . . .” Resp. PFOF ¶ 30. And, CSC’s Master Agreement with SCPA provides that CSC must use licensed areas identified in the agreement “solely for providing stevedoring services at the Terminal necessary and useful to facilitate the handling and movement of cargo to, from, and within the Terminal and Port . . .” Resp. PFOF ¶ 32. CSC also must comply with *SCPA*’s MTO Schedule and Terminal Tariff. Resp. PFOF ¶ 34. Thus, CSC simply does not have the power to exert control that ILA seems to think it does.

ILA’s claim that a carrier’s access to terminals depends on whether the carrier agrees to contract with CSC also misses the mark. *See, e.g.*, Complainant’s Br. at 13. ILA claims that CSC is some kind of all-powerful gatekeeper against helpless carriers, but this fails to recognize the bargaining power that carriers have, overlooks myriad other reasons why carrier would call on a particular port, and misunderstands that CSC has an economic incentive to negotiate competitive rates and encourage carriers to call on the Port of Charleston.

With respect to gate operations, CSC and Charleston Gate perform gate services, but they do so pursuant to a contract with SCPA. Haigler Decl. ¶ 10 (Resp. Appx. 000374). Also, while SCPA previously charged carriers directly for gate services, CSC now charges a gate fee per vessel throughput for its gate services and bills carriers directly, *id.*, *i.e.*, CSC is a contractor for SCPA and has increased the efficiency of gate operations. Plus, contrary to ILA’s assertions, Complainant’s Br. at 15, 17, 18, CSC does not control whether trucks may enter or leave a facility, nor does it control access to a “private facility.” In fact:

CSC has no ability to grant or deny access to any of SCPA facilities. SCPA and its police department have complete control over the security of the terminal, and authority over who enters and exits their facilities through SCPA's security gates. Screening of persons and vehicles arriving at the terminal is done by port police at a SCPA security gate at the terminal entrance. If granted access by SCPA, Charleston Gate Company provides contracted gate services and follows the interchange transaction guidelines issued by SCPA to provide documentation to the truck driver and update SCPA's [terminal operating system.].

Haigler Decl. ¶ 13(d) (Resp. Appx. 000377). In other words, there is a two-step process to enter the Port of Charleston – SCPA is the true “gatekeeper” in terms of deciding who may enter and exit, while CSC handles administrative and regulatory compliance paperwork pursuant to a contract with SCPA. Not to mention that CSC's Master Agreement with SCPA obligates it to comply with the Maritime Transportation Security Act and Port Authority regulations with respect to any and all security and operations at the Port. Resp. PFOF ¶ 55.

ILA's assertions that CSC furnishes warehousing, is “significantly involved in the business of ocean carriers,” and directs cargo from vessels to designated points, *see generally* Complainant's Br. at 18-23, are similarly mistaken. CSC does not furnish warehousing, nor does its license from SCPA state that it may do so. Rather, CSC provides stuffing and unstuffing of containers in terminal areas and warehouses that are controlled and designated by SCPA and offers off-pier warehousing outside of the Wando Welch, Leatherman, and North Charleston, none of which is a marine terminal function. Haigler Decl. ¶¶ 9, 12(c) (Resp. Appx. 000374-375). CSC also stores gear and supplies in its licensed area at the North Charleston Terminal and uses its licensed 1.16-acre area near the Wando Welch Terminal to store equipment and conduct container freight station work. *Id.* ¶ 13(c) (Resp. Appx. 000377). None of these activities is a marine terminal function.

While CSC is responsible for moving cargo between vessels and container yards, CSC takes direction from SCPA and SCPA has full control and discretion over where container yard

cargo should be moved and stored. Haigler Decl. ¶ 12(b) (Resp. Appx. 000374-375). Evidencing CSC's lack of control in this regard, CSC does not charge a fee for demurrage for containers in SCPA's container yards. *Id.* Nor does CSC own any large or heavy equipment used to handle containers in the terminal stacks or determine the number of cranes to be used to move cargo. *Id.* ¶ 12(e), (g) (Resp. Appx. 000375-376).

Finally, ILA makes much ado about CSC's licensing of office space at the port of Charleston; however, while CSC controls access to its licensed office space and pays for utility services in that space, these are not terminal services. Haigler Decl. ¶ 12(a) (Resp. Appx. 000374). Moreover, although it is awkwardly worded, CSC's Master Agreement with SCPA makes clear that CSC is only responsible for "notify[ing] the Authority of the need for repairs or maintenance," and that CSC is only responsible for payment of "the cost of any repairs or replacements required as a result of any damage caused by the negligence or misconduct of [CSC or its] employees, agents, contractors, licensees, or invitees." Exhibit 3 § 6.01 (Resp. Appx. 000038).

In sum, CSC is not an MTO and ILA's conclusory and ill-supported arguments to the contrary should be rejected.

V. RESPONDENTS HAVE COMPLIED WITH THEIR JURISDICTIONAL DISCOVERY OBLIGATIONS.

ILA's contention that Respondents have "refused to provide necessary discovery" suffers from several fundamental flaws. Most critically, ILA overlooks that its sweeping discovery requests and demands for extensive volumes of emails and other electronic documents regarding Respondents' "day-to-day" operations are wildly out-of-step with the Bifurcation Order and the Commission's procedural rules.

ILA argues (inaccurately) that that Respondents are "demanding that the Commission divest itself of jurisdiction over" the Ports of Charleston and Savannah based on an "incomplete"

record. Respondents are not seeking to *divest* the Commission of jurisdiction; rather, they assert that the Commission does not have (and has not had) jurisdiction over Respondents because they are not MTOs. Also, the record is far from incomplete: Respondents have produced hundreds of documents core to the issue of jurisdiction, including licensing agreements with the relevant port authorities, leases, contracts with equipment providers, rate sheets detailing the services provided to carriers, and have filed a declaration from each Respondent detailing current and pre-JV “day-to-day” operations at both ports. ILA’s conclusory arguments about what it “believes” electronic correspondence might reveal about purported “de facto control” over portions of the terminals in Charleston and Savannah do not justify requiring Respondents to respond to overbroad requests that are not proportional to the needs of the case *at this time*, particularly in light of the bifurcated proceedings and the deadlines set forth in the Scheduling Order.

Despite its extensive effort to imply that Respondents have acted improperly in the discovery process, ILA fails to establish that it has been or will be prejudiced by proceeding with the jurisdictional proceedings based on the discovery produced to date and the parties’ declarations. Nor can it. Respondents have produced ample documents pertaining to jurisdiction and Respondents should not be required to collect and produce thousands of electronic documents potentially reflecting “day to day” operations at the ports. Not to mention that ILA will have an opportunity to respond to Respondents’ declarations (and potentially cross examine the declarants if the Commission grants Respondents’ request for a hearing). ILA is grasping at straws because it does not like what Respondents’ documents show concerning their activities in Charleston and Savannah. However, this is exactly how discovery works – documents either prove or disprove parties’ legal theories, and here the documents reveal that Respondents are not MTOs, and the Commission does not have jurisdiction over this action.

A. The Bifurcation Order Limited Discovery to Jurisdictional Matters and Granted the Proposed Protective Order.

The Bifurcation Order explicitly contemplated limited jurisdictional discovery and expedited proceedings on the issue of jurisdiction. In recognizing the Commission’s obligation to determine its jurisdiction before addressing the merits of this proceeding, the Bifurcation Order found that that it would be efficient to “address[] jurisdiction after a limited discovery and briefing on the issue prior to additional discovery and briefing on the merits.” Bifurcation Order at 3.⁷ The Order also reasoned that “[d]iscovery limited to *how the subject terminals operate at the two ports in question and whether any of the Respondents are MTOs* should be far less burdensome to both parties and should not be intertwined with merits of the alleged Shipping Act violations.” *Id.* at 4.⁸ To this end, the Bifurcation Order limited discovery to “jurisdictional inquiries only” and to the “three-year period prior to” ILA’s complaint. *Id.* It also set a production deadline of March 29, 2023 and specified that Respondents were required to (1) provide records submitted to this Commission in 2019 and any updates thereto; and (2) “respond to existing discovery requests regarding jurisdictional issues only, including records showing how the terminals operate at the two ports, and each party’s function, including what role, if any the Respondents play in “providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier....”. *Id.* at 6.⁹ Importantly, the Bifurcation Order also granted the Parties’ consent motion for protective order, meaning the applicable protective order became effective on March 9, 2023. *Id.* at 2.¹⁰

B. Respondents Timely Served Responses & Objections and Produced Documents to ILA that Relate to the Issue of Jurisdiction.

⁷ See CX_000003.

⁸ *Id.* CX_000004.

⁹ *Id.* CX_000006. The Commission’s decision to limit discovery at the jurisdictional phase of these proceedings was well within its discretion. 46 C.F.R. § 502.141(e)(2)(ii).

¹⁰ *Id.* CX_000002.

ILA complains about the timing of Respondents' responses to ILA's Requests for Production of Documents ("RFPs") and their document productions. None of these complaints warrant any action by the Commission. ILA's RFPs were served January 19, 2022, and in accordance with § 502.146(b)(2), Respondents submitted responses and objections on February 21, 2023. Respondents did not immediately produce documents responsive to the RFPs because (1) on January 20, the parties submitted a Joint Status Report proposing a discovery period beginning February 24, as well as a Consent Motion for Protective Order; and (2) on January 23, Respondents filed a Motion to Bifurcate, all of which were pending until March 9, 2022. Producing documents without a protective order in place would have mooted the Consent Motion and the outcome of the Motion to Bifurcate necessarily was going to impact Respondents' discovery obligations. In short – Respondents were not required to produce documents at the time demanded by ILA, and it would have made little sense to do so. Later, after the protective order was in place and after the Bifurcation Order set a March 29 deadline for production, Respondents produced documents pertaining to the issue of jurisdiction. Thus, while ILA expresses frustration that it did not receive Respondent's documents earlier, ILA does not, and in fact cannot, claim that it has been prejudiced by the timing of Respondents' productions of documents. Indeed, ILA received more time than contemplated under the Bifurcation Order to prepare its brief, as ILA sought an extension, to which Respondents consented.

ILA also accuses Respondents of "gamesmanship" because Respondent PAF has not produced any documents relating to jurisdiction. But, as Respondents relayed to ILA, PAF does not possess responsive documents because it never operated as a stevedore (or otherwise) in the Ports of Charleston and Savannah. Nelson Decl. ¶ 5 (Resp. Appx. 000395). Instead, MTCE, along with Respondents SSA and Ceres, provided stevedoring services in those ports before CSC and

Gateway took over as the sole stevedores. Resp. PFOF ¶¶ 13, 16, 19, 28. ILA nevertheless contends (with no support whatsoever) that PAF is obligated to produce documents because it was “clearly made aware of the information ILA was looking for in discovery” and apparently because ILA named PAF as a Respondent in this action because PAF was listed on the *proposed joint venture agreement* filed with the Commission in 2019.

ILA’s arguments are meritless. First, PAF had ample notice from Respondents’ motions to dismiss and Answer that MTCE, not PAF provided stevedoring services in Charleston and Savannah prior to the formation of CSC and Gateway and was one of the companies that formed those joint ventures. *See* Section IV.A, *supra*. ILA could have amended its pleadings to name the correct entity, but it did not do so. This oversight does not somehow obligate PAF to produce documents. Second, PAF is not required to produce documents possessed by an affiliate simply because ILA’s RFP instructions instruct it do so. Under ILA’s own cited authority, *United States ITC v. ASAT, Inc.*, 411 F.3d 245, 278 (D.C. Cir. 2005), parent/subsidiary corporations (a closer relationship than PAF and MTCE) only have requisite control of documents in the other company’s possession if certain factors are met, including, *inter alia*, if the alter ego doctrine warrants piercing the corporate veil and if one acted as an agent of the other. *See also, e.g., United States v. Int’l Union of Petroleum and Indus. Workers*, 870 F.2d 1450, 1452-54 (9th Cir. 1989) (rejecting argument that there was an “‘inherent relationship’ between an international union and its locals such that the international could be deemed to ‘control’ the [local’s] documents” for purposes of responding to a subpoena); *Princeton Digital Image Corp. v. Konami Digital Entertainment Inc.*, 316 F.R.D. 89, 90-95 (D. Del. 2016) (describing pathways for showing requisite control of a sister corporation for discovery purposes, but finding that plaintiff failed to demonstrate control) (relying on *Gerling Int’l Ins. Co. v. Comm’r of Internal Revenue*, 839 F.2d

131 (3d Cir. 1988)). ILA bears the burden of demonstrating control and it has failed to do so. There is nothing in the record of this case to support a determination that PAF “controls” MTCE as a matter of law such that it is required to produce documents in MTCE’s possession. Rather, the Declaration of David Nelson, the site manager for PAF explicitly states that PAF does not own or control MTCE, or any of the Respondents. Nelson Decl. ¶¶ 5-8 (Resp. Appx. 000395). Thus, ILA’s argument that the record is incomplete because PAF did not produce documents should be disregarded.

C. ILA Cannot Establish that its Overbroad Demands for the Production of Electronic Documents are Relevant to Jurisdiction or that Requiring Respondents to Collect and Produce Electronic Documents Is Proportional to the Needs of the Case During the Jurisdictional Phase.

Respondents have been willing to cooperate with ILA on discovery issues but have taken a firm – and justified – stance that broad electronic discovery is not appropriate *at this phase of the litigation* on proportionality grounds, and also that ILA’s proposed search terms are unreasonably overbroad.¹¹ *See, e.g.*, CX_000143 through CX_000156. For these reasons, as detailed more fully below, Respondents request that the Commission proceed with the jurisdictional phase of this matter without requiring Respondents to collect, review, and produce years’ worth of emails and other electronic documents.

The Commission’s Rules of Practice and Procedure do not permit unlimited discovery. Rather, parties responding to discovery requests are afforded an opportunity to object and/or seek a protective order; the rules explicitly provide that the responding party need not produce electronic discovery from sources that are not accessible due to “undue burden or costs;” and the presiding officer may “limit the frequency or extent of discovery” if the officer determines, among other

¹¹ *See, e.g.*, emails from Respondents’ counsel to ILA’s counsel at CX_000150 and CX_000147.

things, that the “burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties’ resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.” *See* 46 C.F.R. §§ 502.141(e)(1)-(2), 502.141(j), 502.146(b)(2)(iii).

Indeed, the Commission’s rules concerning the presiding officer’s ability limit the frequency and extent of discovery, § 502.141(e)(2)(ii), essentially mirror the factors set forth in the Federal Rules of Civil Procedure for determining whether requested discovery is proportional to the needs of the case, *see* Fed. R. Civ. P. 26(b)(1). Rule 26 identifies six factors relevant to assessing proportionality, including (1) “the importance of the issues at stake in the action;” (2) “the amount in controversy;” (3) the parties’ relative access to relevant information;” (4) the parties’ resources;” (5) the importance of the discovery in resolving the issues;” and (6) “whether the burden or expense of the proposed discovery outweighs its likely benefit.” *Id.* As the Sixth Circuit has noted, weighing these factors “ensures that parties and courts share the ‘collective responsibility to consider the proportionality of all discovery and consider it in resolving discovery disputes.’” *Helena Agri-Enters., LLC v. Great Lakes Grain, LLC*, 988 F.3d 260, 273 (6th Cir. 2021). The objective is to limit “costly and delay-inducing efforts to look under every stone in an e-discovery world populated by many stones.” *Id.*

The factors to be considered when the benefits to be gained from discovery are outweighed by the burdens and expenses involved are “not talismanic” – “[r]ather, they are to be applied in a common sense, and practical manner.” *Onwuka v. Fed. Express Corp.*, 178 F.R.D. 508, 516 (D. Minn. 1997) (citing *In re Convergent Tech. Sec. Litig.*, 108 F.R.D. 328, 331 (D.Cal.1985)). Courts routinely limit or even deny jurisdictional discovery “where [the] discovery sought ‘could not have added any significant facts.’” *Alpine View Co. v. Atlas Copco AB*, 205 F.3d 208, 221 (5th Cir.

2000) (citation omitted). *See also, e.g., Getagadget, L.L.C. v. Jet Creations Inc.*, Case No. 19-51019, 2022 WL 964204, at *6; 2022 U.S. App. LEXIS 8435, at *13 (5th Cir. Mar. 30, 2022). Comparably, court also will reject search terms proposed by the party seeking discovery when they “cast too wide a net,” as well as where “the burden of requiring [the responding party] to formulate additional search terms would likely outweigh its benefit.” *See Fair Fight Action, Inc. v. Raffensperger*, Case No. 18-cv-5391, 2020 WL 13561759, at *1; 2020 U.S. Dist. LEXIS 266970, at *1 (N.D. Ga. Feb. 14, 2020); *L-3 Comm’ns Corp. v. Sparton Corp.*, 313 F.R.D. 661, 670 (M.D. Fla. 2015) (finding, among other things, that search terms intended to discover information relating to defendant’s other products were overbroad).

The bulk of ILA’s arguments are complaints about Respondents’ objections to the portions of the RFPs seeking emails and broad electronic discovery. However, ILA has not established that the emails and documents it seeks are proportional to the needs of the case during the jurisdictional phase. ILA argues that it needs to see “correspondence, emails, phone records,” and other documents that “speak to the day-to-day operation” and thus “de facto control” of the terminals, but it does not explain exactly what such documents would prove that cannot already be determined from the extensive licensing agreements with SCPA and GPA and equipment use agreements that Respondents have produced. Similarly, ILA states that it “believes” Respondents’ communications with common and ocean carriers regarding rates and fees would demonstrate Respondents’ control over port facilities; yet, ILA ignores that Respondents have produced *numerous* rate sheets with carriers detailing the specific services provided by Respondents both pre- and post-JV to each carrier calling on Charleston and Savannah and are submitting herewith detailed declarations from each Respondent regarding their current and past operations in each port. Similarly absent from ILA’s brief is any recognition of the time and expense required to

engage in extensive electronic discovery. Presumably this is because ILA knows, but does not want to admit, that the collection, review, and production of emails and other electronic documents necessarily would take months and cause Respondents to incur substantial costs. Respondents acknowledge that more fulsome discovery will be necessary if this matter proceeds to the merits phase; however, for purposes of determining jurisdiction, the burden and expense of ILA's proposed discovery would be borne exclusively by Respondents and does not outweigh its likely benefit in light of the extensive documents and declarations Respondents already have produced.

Separately, ILA's brief paints a scene wherein ILA proposed reasonable search terms that could be used to collect potentially responsive documents and Respondents completely refused to cooperate. This is not accurate. Following a meet and confer during which Respondents raised proportionality and burdensomeness concerns, ILA offered to propose search terms to be used in collecting and producing emails and electronic documents relating to jurisdiction. The search terms ILA ultimately proposed were as follows:

warehouse/ing, store/stored/storage, stow/stowed/stowage, berth/ing, maintain/maintenance, repair, construction, operator/operate/operation, rent/rental, lease, office, building, hall, ray's, rays, private, access, restrict/ed/ing, entry/entrance, exit, egress, gate, payment, fee, quote, estimate, charge, rate, price, refund, tariff, schedule/ing, waiting time, waiting period, manning, staff/ing, assess/assessment, collect/collection, invoice, bill, lading, emergency, accident, injury, EMS/EMT, medical, treatment, fire, spill, clean/ing, sweep, electrical, electricity, dry wall, landscape/ing, grounds, groundskeeper, mow, lawn, grass, plumber/ing, janitor, parking, vendor, pot hole, pot-hole, pavement, fence, cement, concrete, seal, sealant, asphalt, police, officer, security, doctor, nurse, guard, observe, observation, ladder, hose, food truck, cafe/cafeteria, cater, cook/chef, vending machine, trash, garbage, waste, water, lunchroom, breakroom, truck/trucker/trucking, exchange, interchange, rail/railway/railcar, CSX, Norfolk Southern, yard, container, stuff/stuffing, strip/stripping, stack/stacking, machine/machinery, rubber tire gantry, RTG, crane, yard hustler, straddle carrier, noell carrier, forklift, hi-low, high-low, flat-bed/flat bed/flatbed, chassis, semi, jockey, tire, tonnage, TEU, wharf/age, customer, shipping company/ies, carrier, shipper, shippingline, shipment, Maersk, Mediterranean Shipping Company, MSC, CMA, OOCL, CGM, Hapag-Lloyd, WOCL, COSCO, Ocean Network Express, Evergreen, Yang Ming, HMM Zim, Atlantic Container Line, terminal, terminal

operator, terminal operation(s), Wando, Welch, North Charleston, Garden City, Ocean Terminal, coast guard, control, supervise/supervisor, manager

These terms are almost comically overbroad. Not only do they list the names of specific areas of the Ports of Charleston and Savannah and names of various carrier customers, but the terms include words as simple as “carrier,” “shipper,” “container,” “office,” “invoice,” “berth,” “operator/operate/operation,” etc.

ILA’s proposed terms did not narrow the scope of requested discovery in any way, nor did they focus on the instant jurisdictional issues; if anything, they seem to be crafted to capture nearly every document and record held by Respondents. They also are completely inconsistent with the Scheduling Order, which explicitly limited discovery and attempted to expedite the proceedings. Given the overbreadth of ILA’s search terms, Respondents responded by reasserting and clarifying their objections to ILA’s demands for emails and electronic documents. *See, e.g., CX_000150*¹²

¹² The email at CX_000150, dated April 5, 2023, stated:

[T]he burden of collecting and reviewing email correspondence, especially using the search terms you provided, far outweighs any benefit such correspondence would provide, as the documents we have collected and are producing on a rolling basis should be more than sufficient to address the questions of jurisdiction. In particular, the searches ILA expects Respondents to run are not “simple search[es] for electronic materials limited only to the issue of jurisdiction” and Respondents never advised we would not be “producing any electronic discovery whatsoever.” Rather, the search terms you provided on March 11, 2023, would yield at least hundreds of thousands of documents, if not millions. Plus, email collection in and of itself would be extraordinarily complex in this case, as Respondents do not have a singular “electronic database” as you suggest in your email. Rather, we represent multiple clients, all of whom have different email and electronic data storage systems, plus numerous potential custodians. Search terms like “berth,” operator/operate/operation,” and “terminal” alone would show up in hundreds of emails on a daily basis to virtually all employees at these businesses. Less than two months is not a reasonable amount of time to run, review, and produce a production of the size that would correlate to the search terms you provided. For these reasons, we do not consider email correspondence is necessary at this stage when the jurisdictional documents our clients have collected should be sufficient to establish that the FMC does not have jurisdiction over this dispute. We are agreeable to setting a further call to discuss electronic discovery further, but we maintain our position that email correspondence is not relevant to the issue of jurisdiction, nor was email correspondence identified in the ALJ’s Order of March 17, 2023, as an item Respondents need provide.

and CX_000148.¹³ Respondent remained open to discussing a reasonable compromise, *id.*; however, it was and still is Respondents' position that emails and other electronic documents are not necessary at this phase of the case. Nor has ILA demonstrated that the benefit to be gained outweighs the very significant burden that would be imposed upon Respondents, not to mention the injection of further delay in these proceedings.

Accordingly, for these reasons, Respondents respectfully requests that the Commission exercise its discretion to limit the frequency and extent of discovery and make a "common sense" determination that that Respondents were not required to produce emails and other electronic documents to satisfy their obligation to produce documents relating to jurisdiction.

VI. CONCLUSION

ILA has failed to carry its burden of showing that Respondents provide terminal facilities in any of the marine terminals at issue in the proceeding. ILA's underlying legal theory is flawed, as the "control test" in *Plaquemines* is only applicable to port authorities and similar governmental

¹³ The email at CX_000148, dated April 24, 2023, stated:

[A]s to your requests for the production of emails and other correspondence, Respondents stand on their objections. Given the current phase of this action, Respondents strenuously contend that the burden and expense of your proposed discovery requests outweighs the needs of the proceeding and the emails and correspondence you've sought are not important to the issues at stake in this phase of the case. Respondents fully recognize that if the ALJ determines the FMC has jurisdiction, we will need to move to full-blown electronic discovery; however, for purposes of evaluating jurisdiction, it simply is excessively costly and unduly burdensome for five different companies to search for emails of multiple custodians at a number of different locations. Your requests (including word searches for a half-page of ubiquitous shipping terms like "carrier," "shipper," and "TEU") are so overbroad as to capture anything about day-to-day operations, which could be virtually every email a particular custodian received on every day that custodian worked for a Respondent – potentially hundreds of thousands of documents or more, with no probative value. This type of fishing expedition is not justified, particularly here, where it is not even remotely necessary or helpful for ILA to ascertain the services Respondents provide since the union members themselves that provide all of the labor for the services at issue, and the union's Locals are intimately familiar with the employers' operations in these ports. We can and will make this argument to the ALJ and we believe the scales will tip in our favor. That notwithstanding, although Respondents decline to provide a counterproposal on search terms, we are amenable to a meet and confer on the issue of email productions and can work with you to coordinate a time that works for both parties.

entities that provide essential services, condition access on the payment of fees, and otherwise exert comprehensive or plenary authority over terminal facilities. Even if the “control test” applied here, the record shows that none of the Respondents exert control – let alone plenary control – over the operation of these state-run terminal facilities.

Respondents believe the evidentiary record is clear on all relevant points, showing that none of the five Respondents are MTOs. However, if the Presiding Officer determines that certain disputed issues of fact necessary for determining jurisdiction over any party remain, Respondents would request that a narrowly focused evidentiary hearing be convened on those issues in Washington, DC, Charleston, or Savannah.

WHEREFORE, Respondents respectfully request that the Presiding Officer dismiss the ILA’s Amended Complaint with prejudice for lack of personal jurisdiction over each and every Respondent, and all other relief as may be just and proper.

Respectfully submitted,



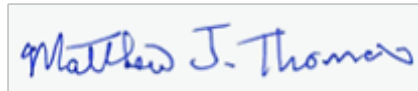
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CERTIFICATE OF SERVICE

I hereby certify that the foregoing Reply Brief was provided to Complainant's counsel of record by email on this 5th day of June 2023.



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